

U.S. Restaurants

Best of Times, Worst of Times: US Restaurants - A Tale of Two Diners



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"It was the best of times, it was the worst of times". The famous opening line of Charles Dickens' 'A Tale of Two Cities' captures a period of contradiction: the French aristocracy indulging in opulence and privilege, the peasantry experiencing poverty and oppression. While 2026 is thankfully not 18th century France, shifting class dynamics remain more topical than ever, from the US K-shaped economy to the squeezed Chinese middle class. In this note, we examine to what extent the consumption has shifted also across restaurants - a sector notoriously resilient through the cycles - and we explore which brands have been most exposed to the K-shaped dynamic.

Restaurant demand is increasingly being driven by affluent diners, while lower-income diners continue to exit the category. Credit card data show affluent consumers (>\$100k income) increasing both spending and visit frequency since 2022, while lower-income consumers (<\$45k) have lost share across virtually every major restaurant concept. Importantly, we think the divergence is primarily traffic-driven rather than check-driven. Brands such as Cava, Chipotle, Starbucks, and LongHorn Steakhouse exhibit particularly high exposure to higher-income households, and appear to be among the largest beneficiaries of affluent customer growth. Other things being equal, this suggests that restaurant demand is increasingly being supported by consumers who remain relatively insulated from inflation and macroeconomic pressures.

At the same time, every brand in our analysis lost exposure to consumers earning less than \$45k between 2022 and 2025, with the largest declines occurring at Wingstop, Chipotle, Taco Bell, and Starbucks. Broadening the perspective to the entire sector, we think the results are consistent with a combination of cumulative menu price inflation (FAFH inflation +35% since 2019 vs +25% CPI) and a trade-down toward grocery spending, and suggest that industry-wide value promotions have had sporadic success in rebuilding lower-income traffic.

A key takeaway from the analysis is that income-related differences are driven more by frequency than ticket size. We find that average spend per transaction is relatively similar across income cohorts at most brands, while spend per user rises much more meaningfully with income. This leads us to believe that affluent consumers are not necessarily spending materially more per visit, but rather visiting more often and generating a disproportionate share of industry growth.

We expect companies that have demonstrated proficiency in offering a barbell menu strategy to emerge more resilient. This means, offering premium innovation, scarcity value (LTOs and merch) and enhanced convenience to attract consumers willing to pay a premium, while establishing disciplined pricing, targeted promotions, and sharp, consistent entry price points to entice low income consumers to return to visit restaurants.

Ultimately we don't expect the dynamics of the K-shaped economy to reverse any time soon, and, other things being equal, we would therefore continue to prefer companies with high income consumer exposure (**SBUX, CAVA, CMG**)Continued on pg 2

or those that appear to be more insulated from these dynamics (**DRI, PFGC, USFD, SYY**).
Conversely, a rebound of low income consumers would likely disproportionately benefit
MCD, DPZ, QSR, YUM and **WING**.

BERNSTEIN TICKER TABLE

Ticker	Rating	14 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CAVA (Cava)	O	USD	69.97	95.00	(42.5)%	USD	0.54	0.60	0.86	129.8	117.3	81.1
CMG (Chipotle)	O	USD	36.43	50.00	(53.9)%	USD	1.19	1.21	1.43	31.2	32.2	26.0
DRI (Darden)	O	USD	195.74	230.00	(26.9)%	USD	10.64	11.30	12.24	18.9	17.4	16.0
DPZ (Domino's)	M	USD	309.85	390.00	(54.8)%	USD	17.57	18.79	20.94	17.6	16.5	14.8
MCD (McDonald's)	M	USD	268.94	310.00	(31.3)%	USD	12.20	12.47	13.47	22.0	21.6	20.0
PFGC (PFG)	O	USD	112.99	130.00	(4.2)%	USD	4.48	5.23	6.32	25.2	21.6	17.9
QSR (QSR)	O	USD	74.61	95.00	(9.5)%	USD	3.70	4.17	4.51	20.2	17.9	16.5
SBUX (Starbucks)	O	USD	106.17	110.00	(6.7)%	USD	2.13	2.36	3.05	65.0	57.6	34.7
SYYY (Sysco)	M	USD	82.85	85.00	(13.7)%	USD	4.46	4.58	4.85	18.6	18.1	17.1
USFD (US Foods)	O	USD	101.00	106.00	2.9%	USD	3.98	4.77	5.61	25.4	21.2	18.0
OLD								4.68	5.66			
WEN (Wendy's)	M	USD	7.42	9.00	(52.3)%	USD	0.90	0.59	0.82	8.7	14.9	9.6
WING (Wingstop)	O	USD	148.41	220.00	(73.7)%	USD	4.12	4.77	5.40	36.0	31.1	27.5
YUM (Yum!)	M	USD	158.18	170.00	(12.9)%	USD	6.06	6.53	7.28	28.3	23.9	22.4
SPX			7,543.59									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CAVA, CMG, DRI, SBUX, WEN, YUM valuation is Reported P/E (x); DRI base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate 8 companies as Outperform: CAVA, CMG, DRI, QSR, SBUX, WING, USFD, and PFGC. We rate 5 companies as Market-Perform: DPZ, MCD, WEN, YUM, and SYY.

DETAILS

OVERVIEW

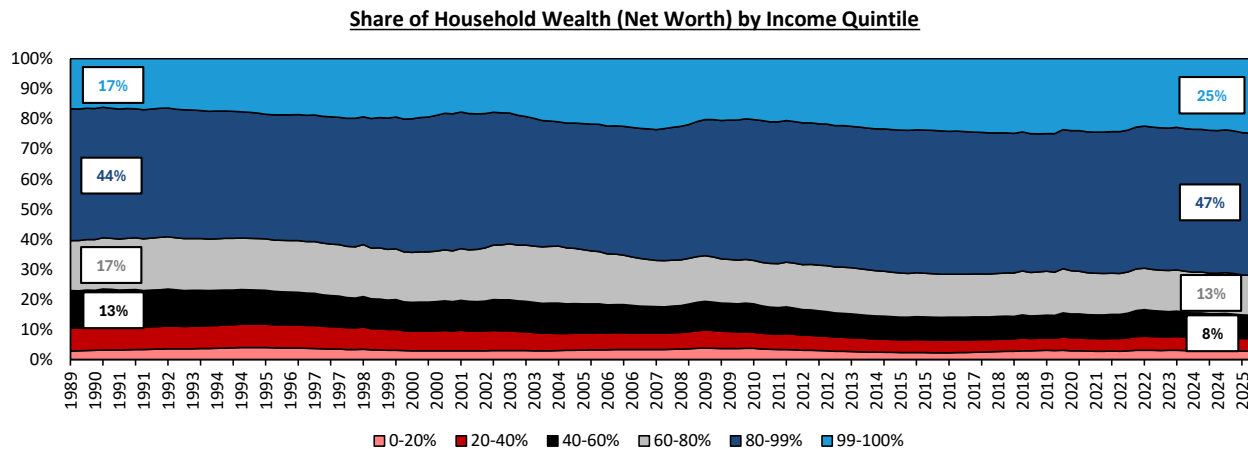
The US consumer backdrop has become increasingly K-shaped. Wealth concentration has risen steadily over the past several decades, with the top 1% now controlling roughly 25% of household wealth versus 17% in 1990, while the middle class accounts for a shrinking share of national wealth. At the same time, income growth has disproportionately accrued to higher-income households, leaving lower-income consumers more exposed to inflation in essential categories and increasingly constrained in their discretionary spending.

Consumer expenditure data show that lower-income households devote materially larger portions of their budgets to necessities, while higher-income consumers allocate a greater share toward savings and investments. Importantly, consumer confidence has weakened across all income cohorts but remains lowest among lower-income households, reinforcing the growing bifurcation in spending behavior.

Bernstein's K-shaped spending index ranks food away from home among the most income-skewed consumer categories, with the highest-income households spending 4.6x more than the lowest-income households in 2024. Moreover, restaurant spending has become more K-shaped since the pandemic, as the spending gap between affluent and lower-income consumers has widened. Food-away-from-home spending contracted sharply in 2020 and has only partially recovered. While higher-income consumers have largely resumed restaurant spending, lower-income households continue to allocate a meaningfully lower share of wallet to restaurants than before COVID. Over the last two decades, lower-income cohorts have reduced restaurant spending as a share of expenditures by roughly 40bps, with the most pronounced decline occurring in the past five years as inflation and affordability pressures intensified. Meanwhile, spending on food at home has increased, particularly among lower-income consumers.

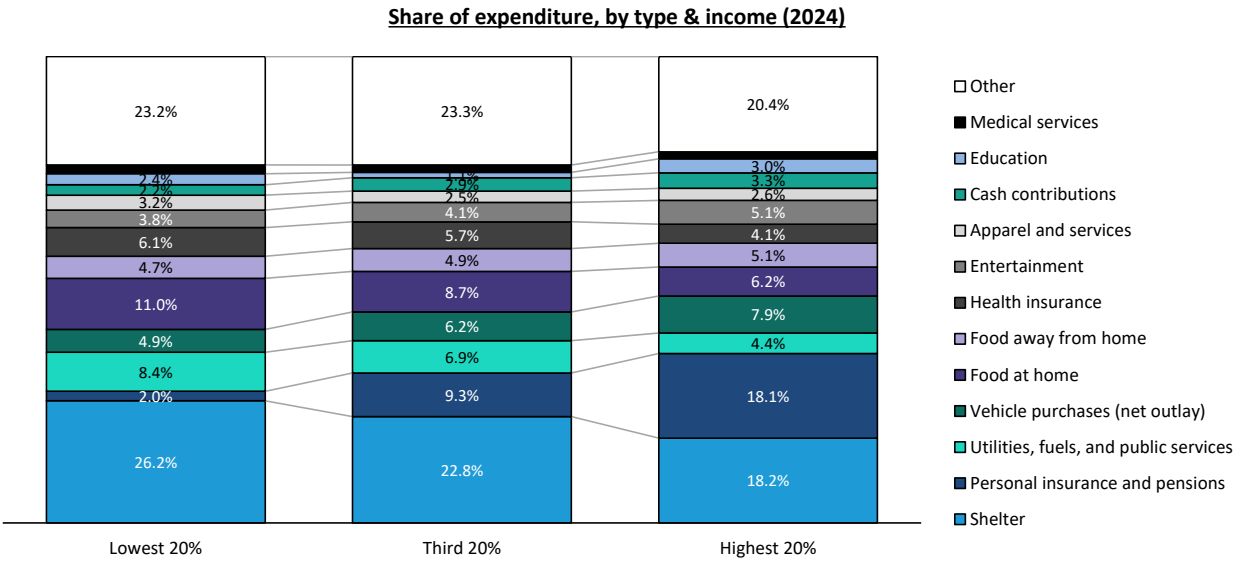
Higher-income households continue to sustain dining frequency and, in some cases, trade up, while lower-income consumers are trading down, reducing visits or shifting spending toward groceries. We think this dynamic helps explain the ongoing outperformance of concepts exposed to middle- and upper-income consumers, while value-oriented and lower-income-focused restaurant operators remain more vulnerable to pressured discretionary budgets.

EXHIBIT 1: The top 1% in terms of households by income account for 25% of US wealth today vs. 'just' 17% in 1980



Source: Federal Reserve, Bernstein analysis

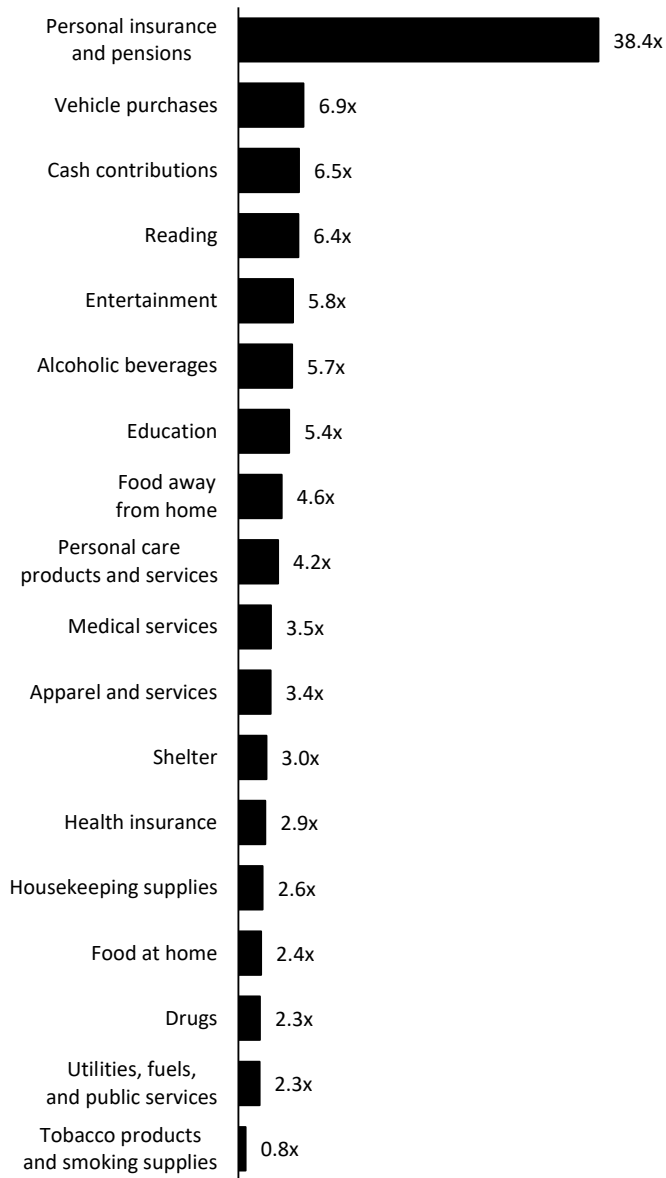
EXHIBIT 2: **The lowest 20% spend disproportionately more of their income on shelter, utilities/fuel food at home and health care**



Source: US Bureau of Labor Statistics' Consumer Expenditure Survey, Bernstein analysis

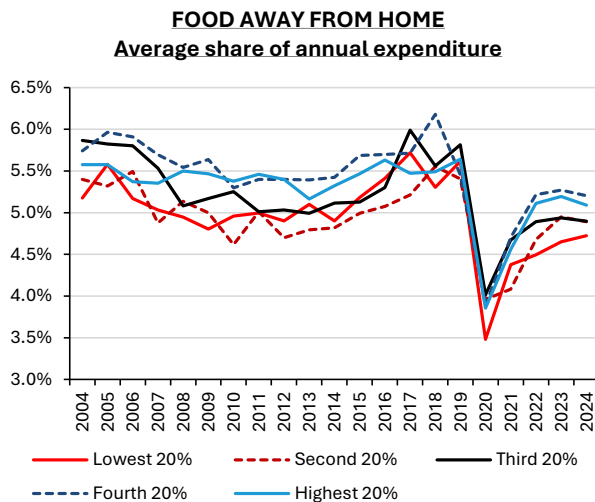
CARS, :shaped sectors, with tobacco and food at home being the least

**Bernstein K-Shaped index (annual expenditure
ratio top 20% earner to bottom 20% earners,
2024)**



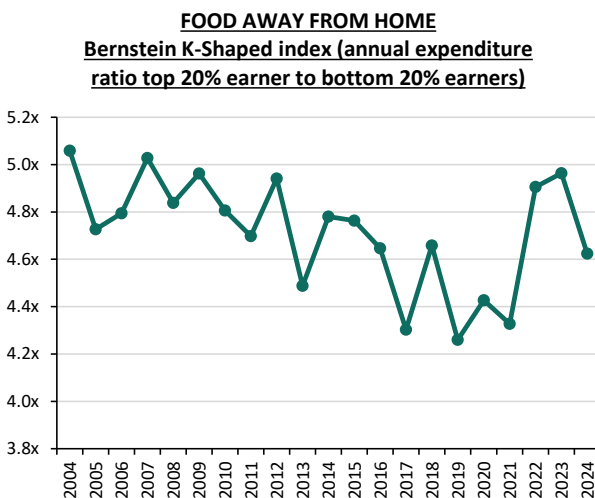
Source: US Bureau of Labor Statistics' Consumer Expenditure Survey, Bernstein analysis

EXHIBIT 3: Food away from home spending declined modestly as a % of total annual expenditures pre pandemic, followed by a sharp contraction in 2020 and a partial recovery thereafter. The recovery remains incomplete, particularly for lower-income cohorts.



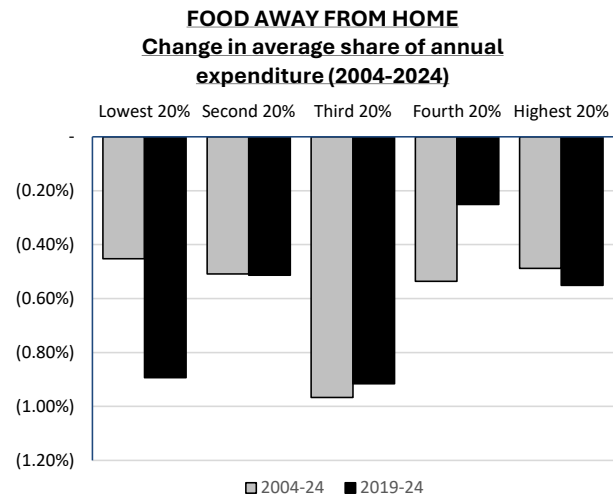
Source: US Bureau of Labor Statistics' Consumer Expenditure Survey, Bernstein analysis

EXHIBIT 5: The ratio of spending on food away from home between top earners and bottom earners compressed over the long term through the mid-2010s, but has re-expanded after the pandemic only to dip again in 2024



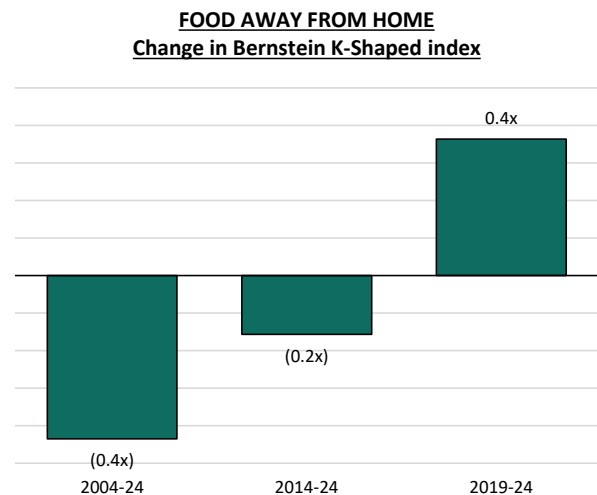
Source: US Bureau of Labor Statistics' Consumer Expenditure Survey, Bernstein analysis

EXHIBIT 4: The decline and subsequent recovery in food away from home spending has been uneven across income groups, with lower-income households seeing the largest sustained reduction in share of wallet



Source: US Bureau of Labor Statistics' Consumer Expenditure Survey, Bernstein analysis

EXHIBIT 6: Food away from home has become more K-shaped in recent years. While the long-term trend showed mild compression (2004-2019), the top-to-bottom spending ratio has widened by ~0.4x since 2019



Source: US Bureau of Labor Statistics' Consumer Expenditure Survey, Bernstein analysis

CREDIT CARD DATA ANALYSIS

The analysis in this note is derived from aggregated credit card transaction data between 2022 and 2Q 2025. Credit card data excludes cash payments, debit card transactions, and importantly, stored card value (e.g. Starbucks Rewards with its 35 million active users) that may not route through a standard card network. Lower-income cohorts (where cash usage remains

proportionally higher) are likely underrepresented in both user counts and spend figures relative to their true share of restaurant traffic. Note that the data below is also not adjusted for inflation, but we think the directional findings and relative brand rankings are consistent with third-party survey data, and management commentary across earnings calls.

The US restaurant sector is also bifurcating along income lines, consistent with the broader economy. Credit card transaction data across 13 major chains reveals a structurally segmented consumer base: affluent households (>\$100k annual income) dominate spending at virtually every chain, including fast food, while lower-income consumers (<\$45k) have meaningfully reduced their share of restaurant transactions over the past three years. We believe that this bifurcation is driven by several factors.

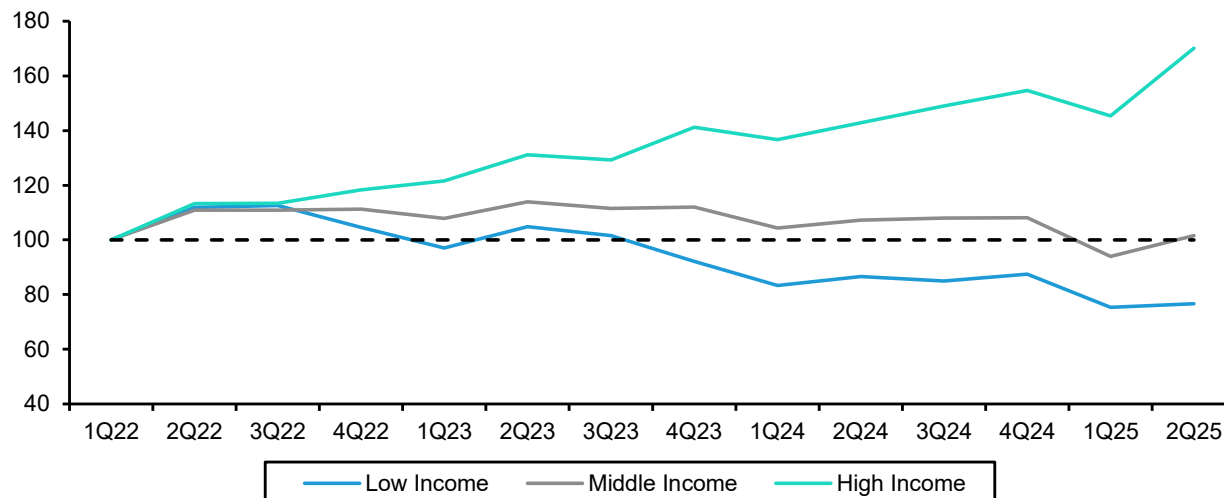
1. **Lower disposable income availability.** With the lapsing of the Covid-related benefits, low-income consumers have become more discerning with their marginal dollar, reflecting greater caution as the earnings and spending behaviors normalized
2. **Relative inflation of restaurants vs other discretionary goods.** Following labor shortages, supply chain disruptions, rising commodity costs and increasing minimum wages (especially in California, following the implementation of the FAST Act in April 2024, restaurants have taken an opportunity to increase the prices to protect their margins that were under significant pressure. As a result, the 'excess pricing' of restaurants (defined as restaurant pricing above CPI inflation) rose from the historical average of 60bps per year (1960 to 2019) to 110+ bps annually (2020-2026). Low income consumers, that tend to display higher price elasticity, likely responded to price increases with lower frequency of transaction.
3. **Trade-down to grocery.** We believe that especially low income consumer have traded down to grocery not only as the budget constraints have tightened but also because the relative inflation of grocery has been far lower than restaurant inflation - resulting in improving value positioning for grocery relative to restaurants. Again, a dynamic that impacts more low income consumers not only for the lower income availability but also for the greater price elasticity.

Our analysis of credit card data shows that:

- **High-income (>\$100K in annual income):** Overall increased total spending by ~70% since 2022 and transactions by 55%, compounding growth in both occasions and check size.
- **Middle-income (~\$45K-\$100K):** Broadly flat consumption levels, with modest recent softening - especially in transactions.
- **Low-income (<\$45K):** A deteriorating trajectory from 2023, reducing transactions and spend by 25%-35% from the 2022 baseline. With spend per transaction remaining fairly constant, we think this means that the divergence is traffic-driven rather than solely driven by average check - which could be harder to rebuild once the consumption habit shifts, as compared to ticket recovering.

EXHIBIT 7: High-income households (>\$100K annual income) indexed to ~170 on total quarterly spend by 2Q25 (vs. 1Q22 = 100), while low-income consumers (<\$45K) have declined to approximately ~75 on the same basis – a ~95-point spread that has widened materially since 2023.

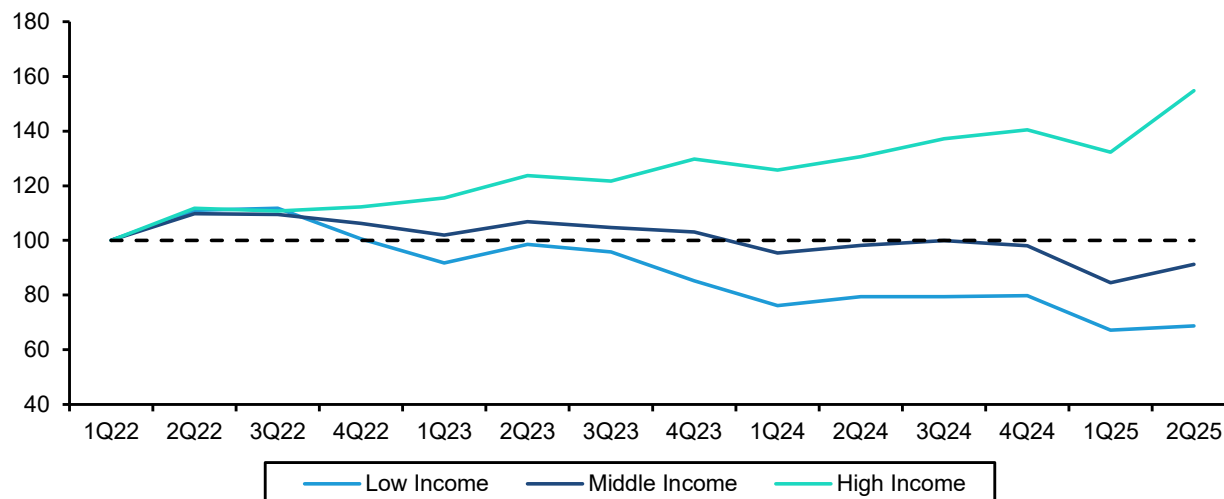
Total Quarterly Spend per Income Bracket
(Index 1Q22 = 100)



Source: Carbon Arc, Bernstein analysis

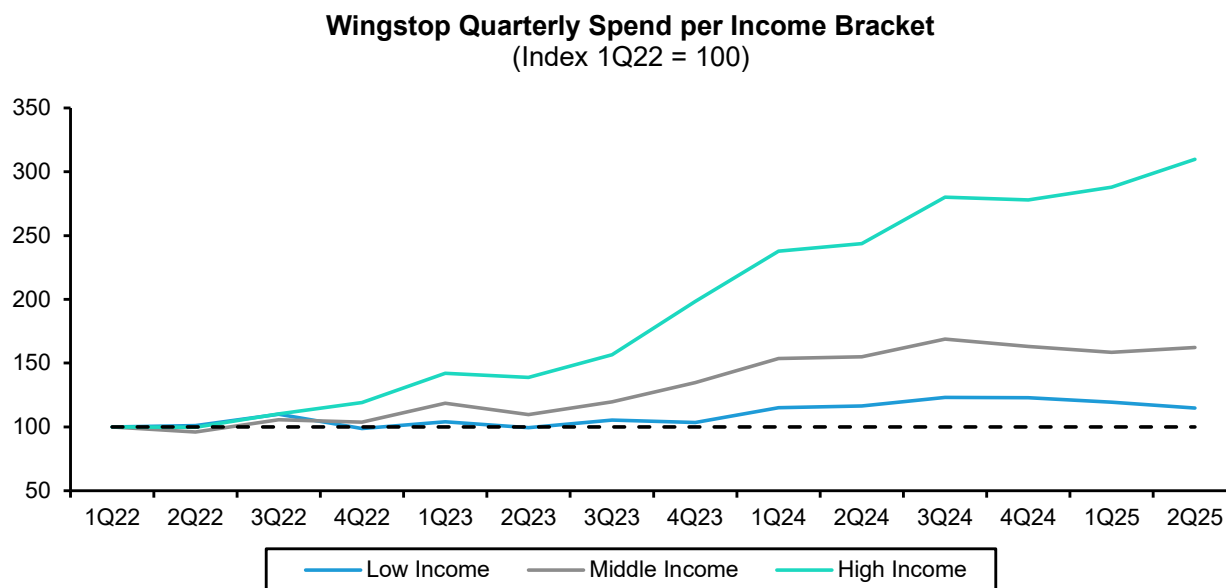
EXHIBIT 8: The same bifurcation appears in transaction counts, confirming that the divergence is traffic-driven, not merely average-check-driven.

Total Transactions per Income Bracket
(Index 1Q22 = 100)



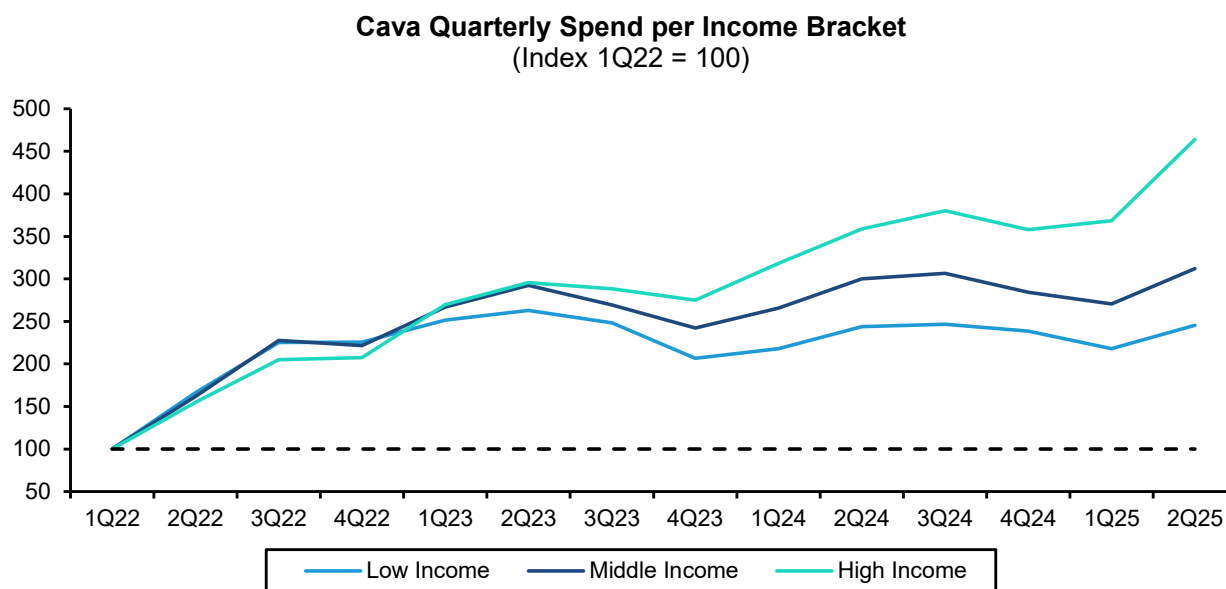
Source: Carbon Arc, Bernstein analysis

EXHIBIT 9: Wingstop's high-income cohort has nearly tripled vs. the 2022 baseline, but low-income spend has barely moved from index despite three years of brand growth

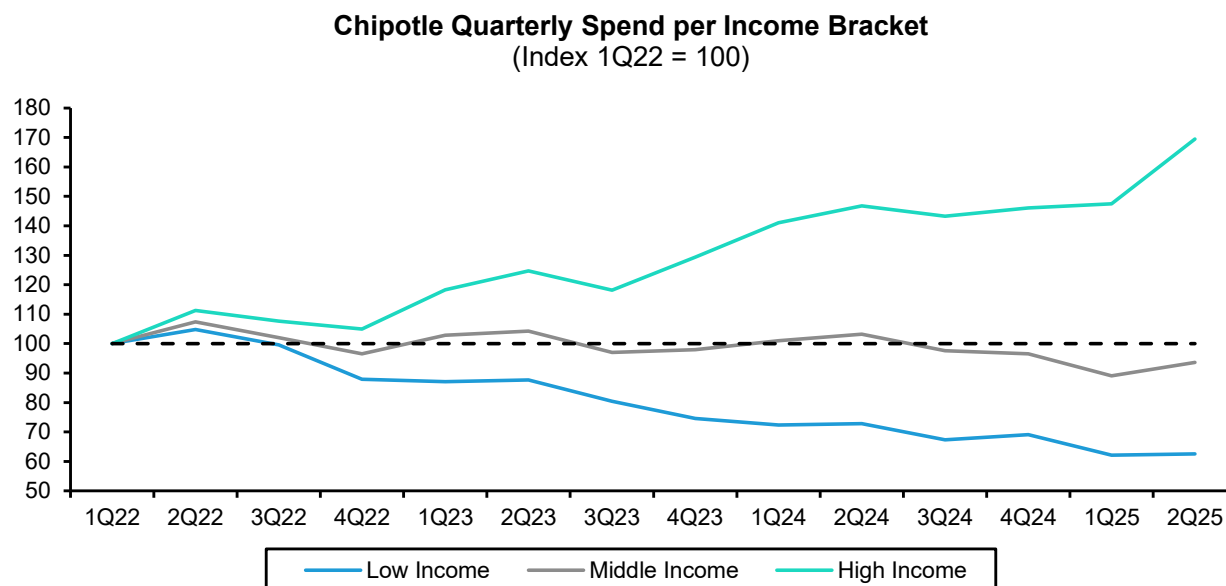


Source: Carbon Arc, Bernstein analysis

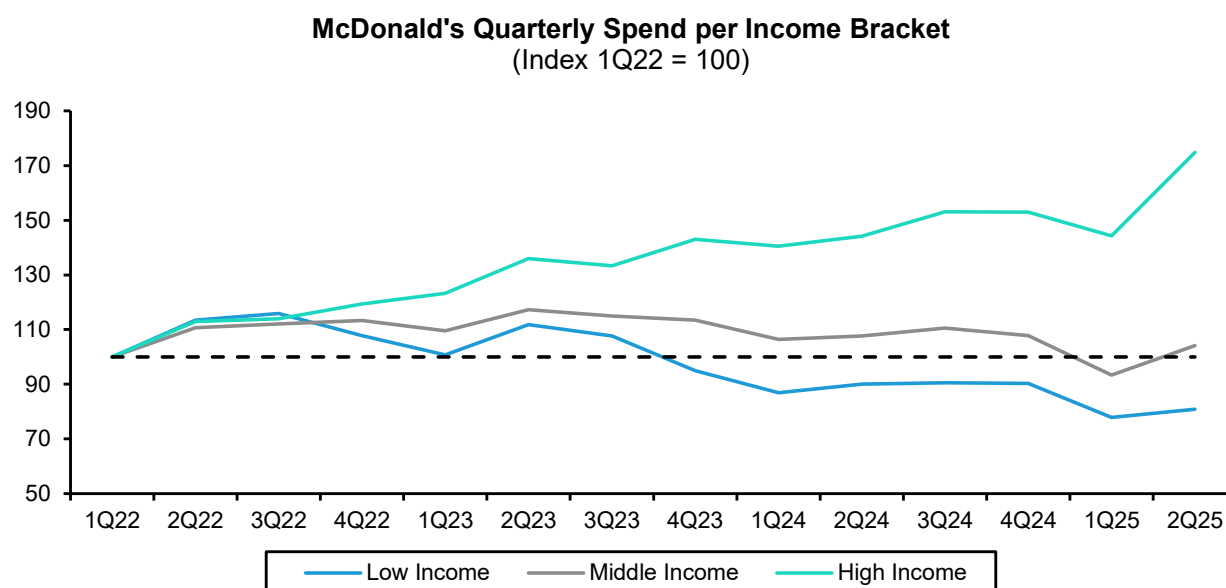
EXHIBIT 10: Cava is the only brand where all three income cohorts are materially above index, with high-income spend more than 4x the 2022 baseline



Source: Carbon Arc, Bernstein analysis

EXHIBIT 11: Chipotle has seen a steep decline in low-income spend


Source: Carbon Arc, Bernstein analysis

CHART 1: While high income spend has increased in the past two quarters for McDonald's, its low-income spend has declined


Source: Carbon Arc, Bernstein analysis

K-SHIFT SCORE: MEASURING CONSUMER MIX SHIFT

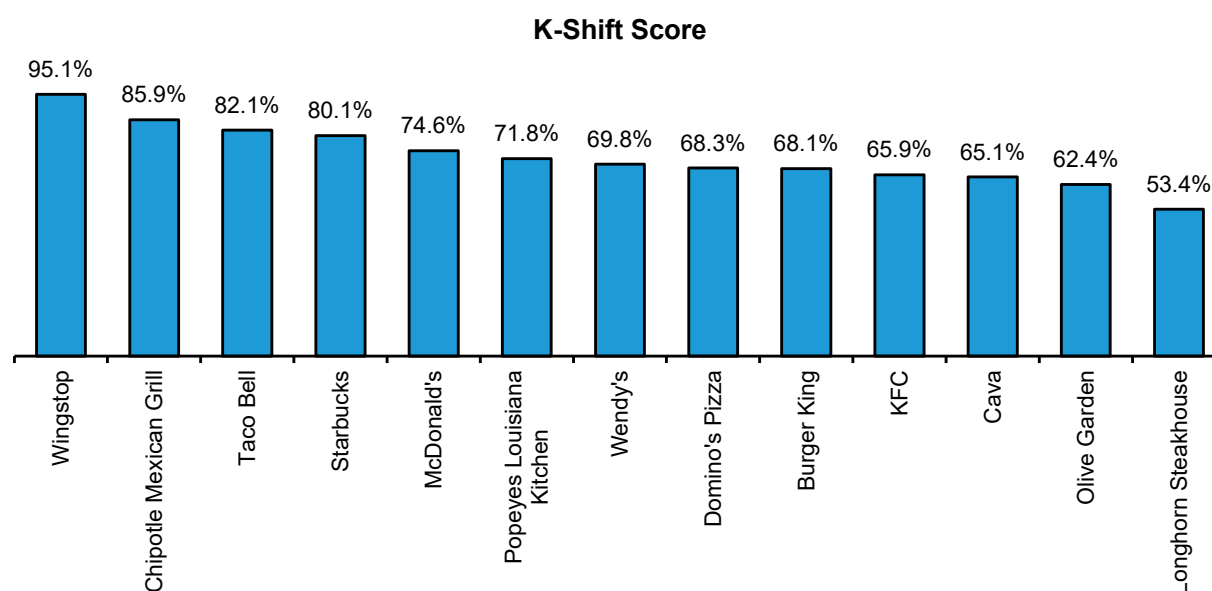
We define the K-Shift Score as a measure of the degree to which each chain's customer mix has rotated away from low-income consumers (<\$45k) and toward affluent consumers (>\$100k) between 2Q22 and 2Q25. The K-Shift Score is calculated by the change in the >\$100k transaction share minus the change in the <\$45k transaction share. In other words, it captures both sides of the bifurcation simultaneously. A higher score indicates a more pronounced K-shaped rotation in the customer base. Note that a high K-Shift Score does not inherently denote brand health. It reflects how much the brand's customer mix shifted toward affluent customers, which can occur through (a) organic attraction of higher-income customers

(positive), or (b) disproportionate loss of lower-income customers leaving a wealthier residual (negative).

- **Wingstop leads the ranking at 95.1%, followed by Chipotle (85.9%) and Taco Bell (82.1%).** We think the high scores at Wingstop and Chipotle reflect different dynamics than Taco Bell. For Taco Bell, the brand was built on value and has historically skewed toward lower-income, frequent users, making it acutely exposed to that cohort's withdrawal. That said, in recent years, Taco Bell has introduced new menu platforms like the Cantina Chicken Menu that has likely attracted higher income consumers. For Wingstop and Chipotle, we think there is an element of pullback from lower-income consumers who have become increasingly price-sensitive, alongside the inflow of more affluent transactions. Either way, the customer mix for these three look more affluent today than three years ago.
- **McDonald's (74.6%), Popeyes (71.8%), Wendy's (69.8%), Domino's (68.3%), Burger King (68.1%) cluster in a high 60% to mid-70% band.** This is the QSR battleground: chains that have broadly equivalent K-shape exposure, all of which have rolled out emergency value platforms (\$5 meals deals widely available in July 2024 through at least the end of 2024) in an attempt to re-engage the low-income consumer. The similarity of their scores suggests the headwind is structural and uniform across the QSR segment rather than idiosyncratic to any one brand's execution or pricing decisions.
- **KFC (65.9%) and Cava (65.1%) sit adjacent in the ranking but for different reasons.** KFC's score reflects genuine broad-based customer attrition. The data later in this note will show that they have lost low-income visits without meaningfully gaining affluent ones. Cava, by contrast, is a brand and awareness expansion story: its score is moderated by the fact that it grew rapidly from a small base across both income cohorts, with absolute low-income volumes still well above 2022 levels despite a declining share.
- **Casual dining concepts anchor the bottom of the ranking, with Olive Garden (62.4%) and Longhorn Steakhouse (53.4%) showing the lowest K-Shift Scores in our coverage universe, and we think this reflects genuine structural resilience.** The full-service format provides a real buffer: the low-income consumer who visits Olive Garden or Longhorn is making a deliberate, occasion-driven spending decision rather than a habitual routine visit, making that relationship less vulnerable to incremental price sensitivity than the everyday QSR occasion. Besides, we believe that Darden has been much more prudent in taking prices - improving the relative value positioning vs QSRs and other chains that have increased prices without meaningfully improving the quality of the offering.

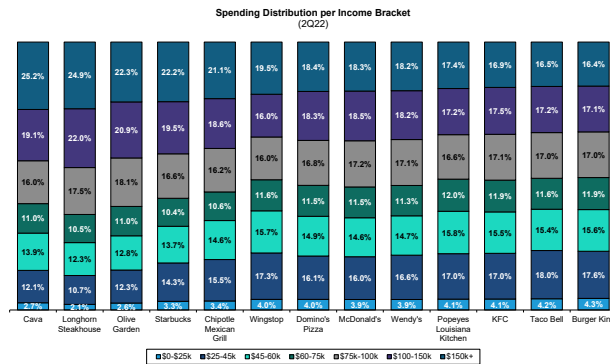
How much is the K-shift score from an increase in affluent exposure vs decrease in low-income exposure? We explore this in the next two sections.

EXHIBIT 12: **K-shift score: Wingstop, Chipotle, Taco Bell saw the sharpest mix change**



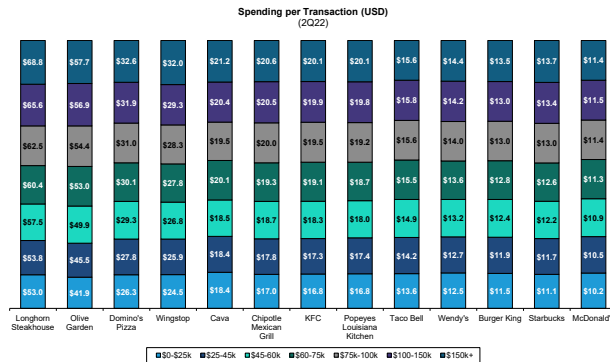
Source: Carbon Arc, Bernstein analysis

EXHIBIT 13: In 2022, Cava and Longhorn skewed most heavily toward higher-income consumers while QSR brands and McDonald's drew more evenly across brackets, with lower-income cohorts representing ~20-22%.



Source: Carbon Arc, Bernstein Analysis

EXHIBIT 15: In 2022, per-transaction spending showed similar income stratification but at lower absolute levels across the board



Source: Carbon Arc, Bernstein analysis

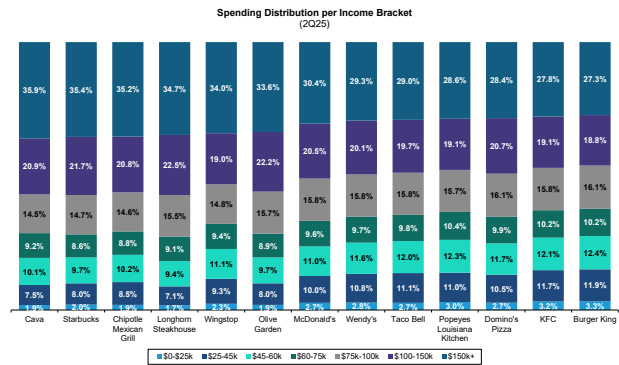
(I) AFFLUENT EXPOSURE

Based on the credit card data, we note that consumers earning >\$100k represent the largest spending cohort — including QSRs traditionally associated with low-income demographics, such as McDonald's (51%), Burger King (46%), and Taco Bell (49%). We think this partially reflects the cash/app bias and inflation described above, but nonetheless aligns with the broader K-shaped narrative that affluent consumers play a growing role at QSRs.

Cava, Starbucks, Longhorn, and Chipotle all show ~35%+ contribution from the >\$150k income tier — a consumer segment that we think is most insulated from employment shocks, benefit cliffs, and inflation fatigue. We think brands with higher affluent exposure and meaningful \$150k+ concentration are the most defensible names in the group if the top half of the consumer holds while the bottom continues to weaken.

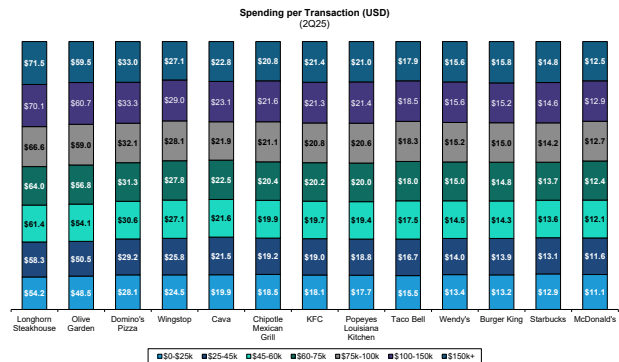
Higher affluent exposure also broadly correlates with higher spend per affluent user. Longhorn's 57.1% affluent share pairs with ~\$71 spend per >150K user; Chipotle's 56.1% with \$20.80; Cava's 56.8% with \$22.80. At 56.9% affluent exposure, Starbucks ranks among the top tier on customer mix — though given the exclusion of ~35M Rewards members from the credit card panel, its true affluent concentration is likely understated and may rank even higher on a fully inclusive basis.

EXHIBIT 14: Income distribution across brands was broadly stable in 2025, with fast casual (Cava, Chipotle) and casual dining (Longhorn, Olive Garden) over-indexing to >\$100k households vs. QSR peers.



Source: Carbon Arc, Bernstein Analysis

EXHIBIT 16: By 2025, average spending per transaction remained highly stratified across income brackets, with Longhorn's \$150k+ cohort spending ~\$71.5 vs. \$54.2 for \$0-\$25k customers



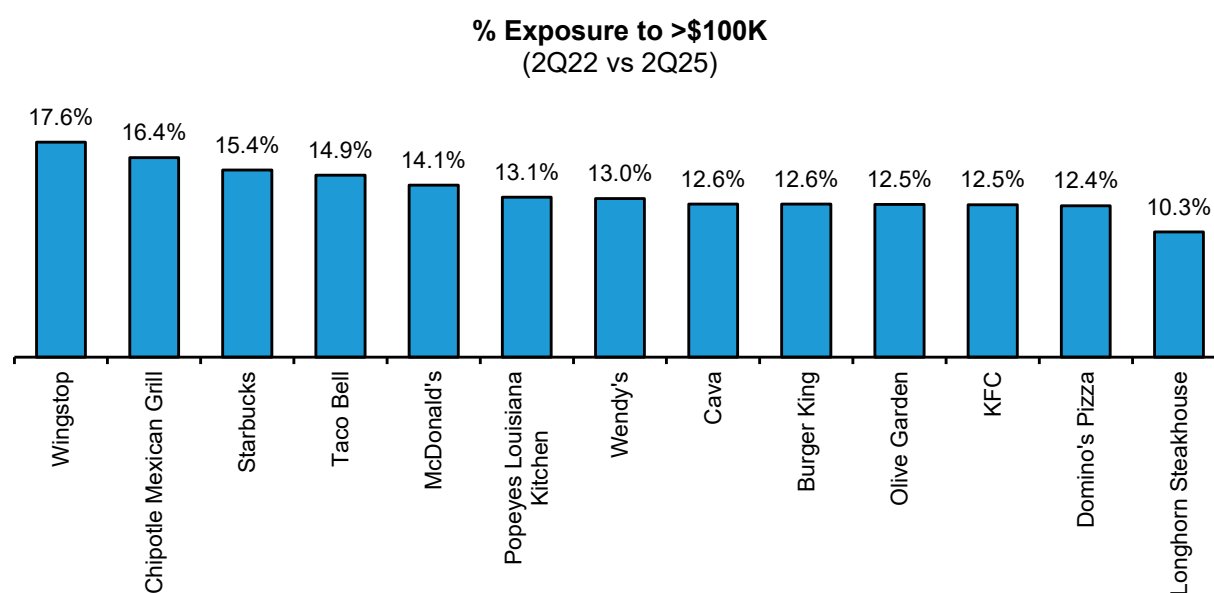
Source: Carbon Arc, Bernstein analysis

Importantly, we see that affluent exposure is increasing on a volume basis. Exhibit 13 plots the CAGR of transactions from >\$100k households between 2Q22 and 2Q25 and shows positive growth for all 13 chains, with Cava (40%) and Wingstop (51%) far outpacing the group and most other brands clustered around ~5-15%. This confirms that the >\$100k cohort is not simply becoming a larger share of a shrinking pie - rather higher-income customers are visiting more frequently across the board.

For most brands we find that the uplift from moving up the income ladder is more about frequency than ticket.

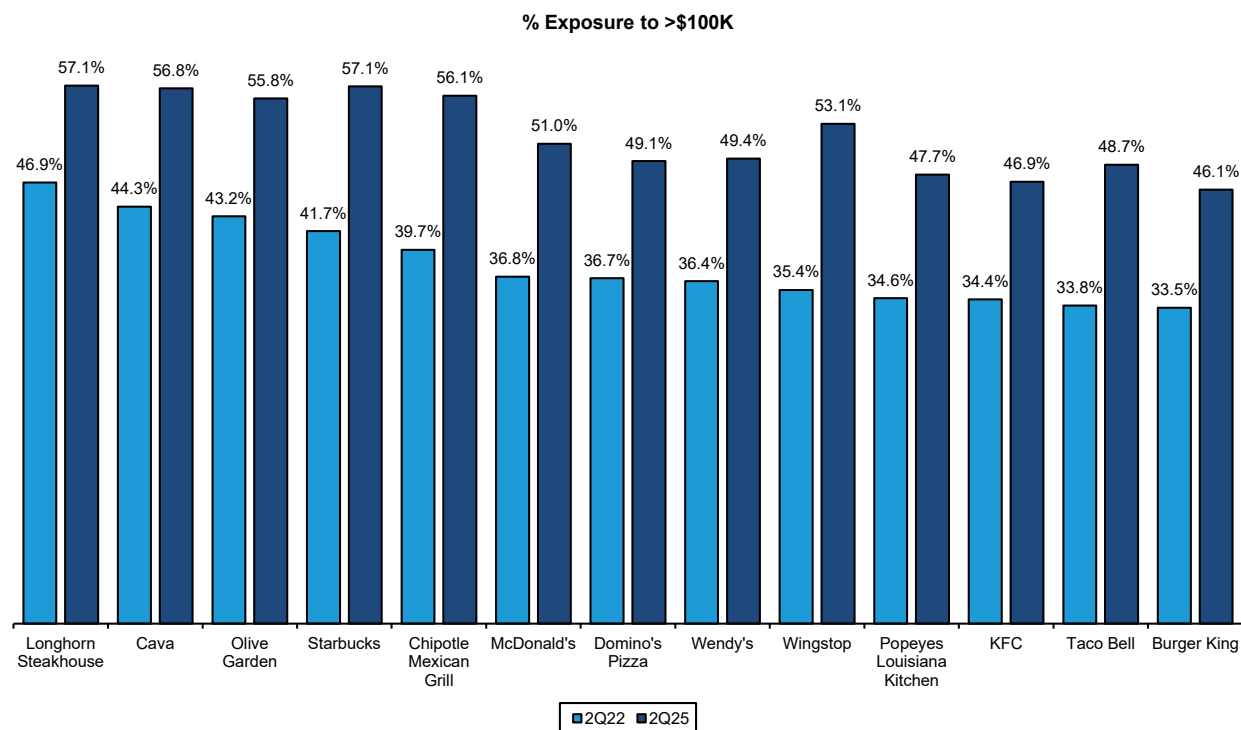
With the exception of casual dining where check size rises around 30% from bottom to top brackets at LongHorn and Olive Garden, the spend-per-*transaction* chart shows that average check size is remarkably similar across income bands: a <\$25k McDonald's customer spends about \$11 per credit-card transaction versus roughly \$13 for a \$150k+ customer, and Cava's checks move only from the low-\$20s to the low-\$23s across the same span. We think ticket plays a greater role for casual dining due to additional upsell opportunities through drinks, appetizers, premium proteins, which could widen the check gap vs lower-income guests.

EXHIBIT 17: The increase in >\$100k household exposure between 2Q22 and 2Q25 was broadly similar across brands (~10-18%), with Wingstop (+17.6%) and Chipotle (+16.4%) seeing the largest uptick



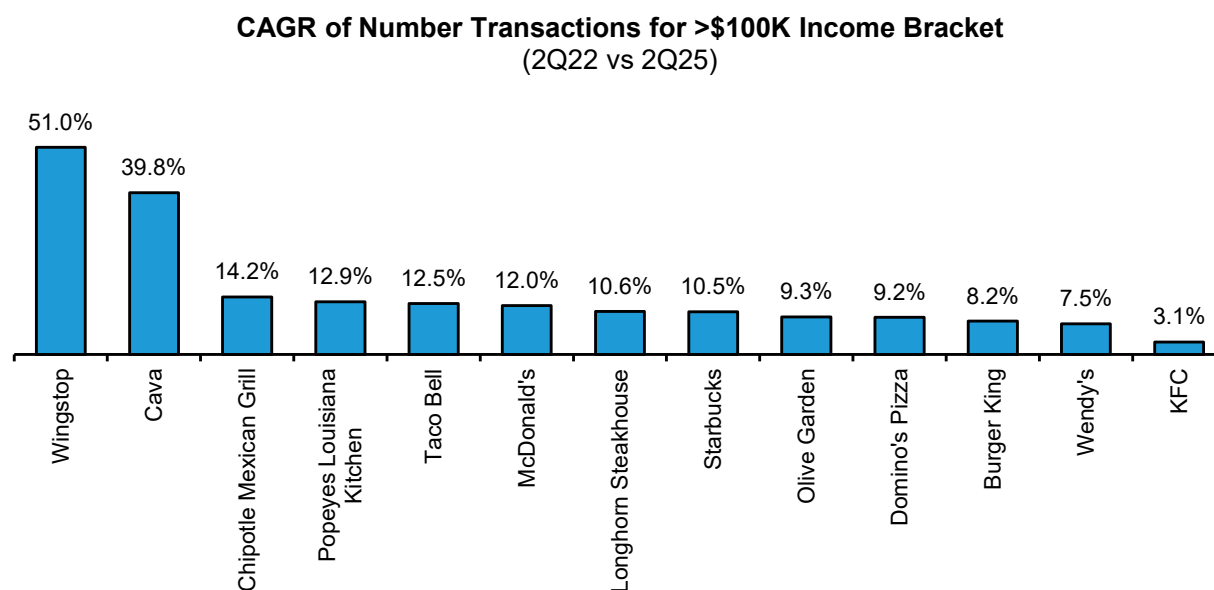
Source: Carbon Arc, Bernstein analysis

EXHIBIT 18: High-income households account for roughly half of total restaurant spend across all brands by 2025, up ~10-20pp from 2022, with premium and fast-casual players exhibiting modestly higher exposure versus value-oriented QSR



Source: Carbon Arc, Bernstein analysis

EXHIBIT 19: All 13 brands grew >\$100k household transactions from 2022 to 2025, with Wingstop and Cava far outpacing the group



Source: Carbon Arc, Bernstein analysis

(II) LOW-INCOME EXPOSURE

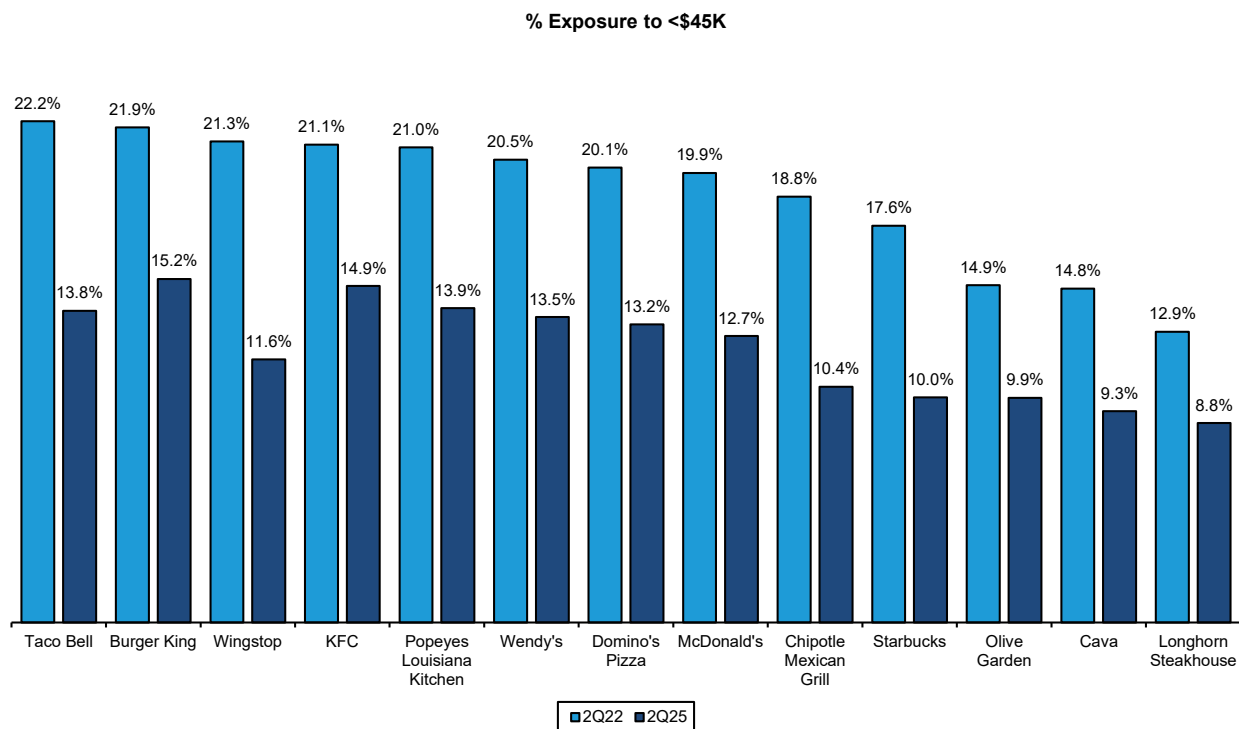
The credit card data shows a decrease in <\$45k consumers from chain restaurants over the past three years. [Exhibit 21](#) plots the change in low-income spend share between 2Q22 and 2Q25 and shows declines across all 13 brands, ranging from -4.0ppt at Longhorn Steakhouse to -9.6ppt at Wingstop, with McDonald's, Burger King and several other QSRs in the mid-single digits. The left-to-right ordering of the chart closely tracks each brand's starting affluence level: full-service and casual dining concepts that were already thin on the <\$45k cohort in 2Q22 (Longhorn, Olive Garden, Cava) saw the most modest compression, while brands with the deepest low-income dependence entering the period (Wingstop, Chipotle, Taco Bell, Starbucks) absorbed the sharpest declines. Notably, the major QSR names cluster tightly in the -6 to -7ppt range, which looks more like a sector-level structural withdrawal than a set of isolated brand-level execution problems.

The transaction data confirm that this is a volume story. Only Cava and Wingstop show positive CAGRs in low-income transactions between 2Q22 and 2Q25 (8.7% and 4.4%, respectively), while every other brand in the coverage universe posts negative visit growth, from -9.2% at Longhorn to -18.5% at Starbucks. When we look at absolute transaction counts, most chains have seen the number of low-income visits fall materially over the period — McDonald's, for example, drops from ~1,622k to ~1,048k transactions in the <\$45k bracket, with similar patterns at Starbucks, Taco Bell, Wendy's and others.

We think this pattern is best understood as the intersection of cumulative menu price inflation and a structural trade-down to groceries. Food-away-from-home prices have risen materially faster than food-at-home over the past several years, we think lower-income households have been responding by cutting restaurant frequency, ordering fewer items per visit, and substituting toward pantry staples and value grocers.

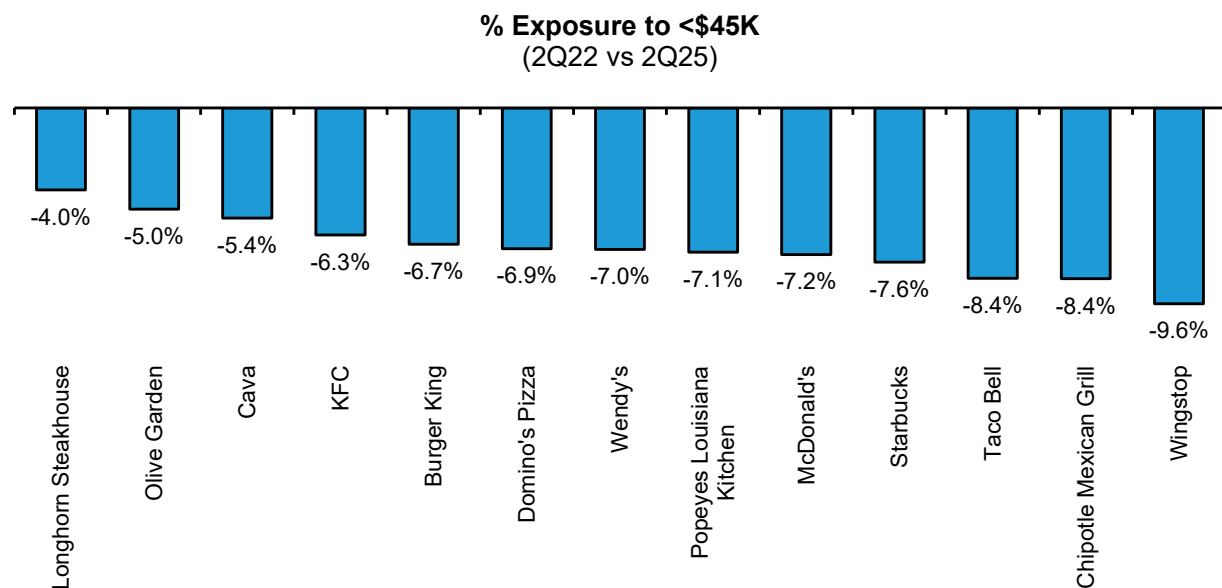
- **Value messaging has been insufficient to rebuild habits.** Despite aggressive discounting and bundle programs, the data show that low-income visit counts continue to drift down, with coupon-driven traffic unable to offset the cumulative impact of higher ticket and tighter budgets. We saw previously that spend per transaction roughly flat while traffic declines: the low-income guest who still shows up is spending about the same per visit - meaning it is the number of visits that have decreased.
- **We think it is telling that the only brands showing positive low-income transaction CAGRs (Cava and Wingstop) both grew total system transactions by roughly ~20% over the period, yet their low-income CAGRs are in the single digits.** In our view, this means that even the relative winners on low-income traffic are not genuinely rebuilding the <\$45k base. Rather, they are simply losing it more slowly while most of the growth accrues to higher-income cohorts, consistent with the broader K-shaped pattern we document across the sector
- **We note that the credit card panel likely understates true low-income exposure across the board,** as households under \$30k still rely on cash for roughly a quarter of their payments, versus ~10% for >\$100k households. This means the *level* of <\$45k exposure at QSR chains is probably higher than measured, although the direction and broad magnitude of the three year decline should be robust.
- **Importantly, we think the decline in <\$45k restaurant spend is not just a story of households 'graduating' into the next income brackets.** As a sense check, we compare the share of spend from <\$45k households in 2022 to the share from a much broader <\$60-65k cohort in 2025, which should capture both the original low-income group and any households that have moved up into the lower-middle income range due to wage increases. Despite this substantial expansion of the income band, the share of restaurant spend/transactions from the broader <\$60-65k cohort is only around 5 percentage points higher than the earlier <\$45k share. In our view, that modest uplift is small relative to the size increase in the bucket and underlying wage gains, which gives us more confidence that the retreat in <\$45k spend reflects real pressure on lower-income restaurant demand.

EXHIBIT 20: The decline in <\$45k exposure was across all brands from 2Q22 to 2Q25, ranging from -4.0pp at Longhorn Steakhouse to -9.6pp at Wingstop, the largest drop in the group



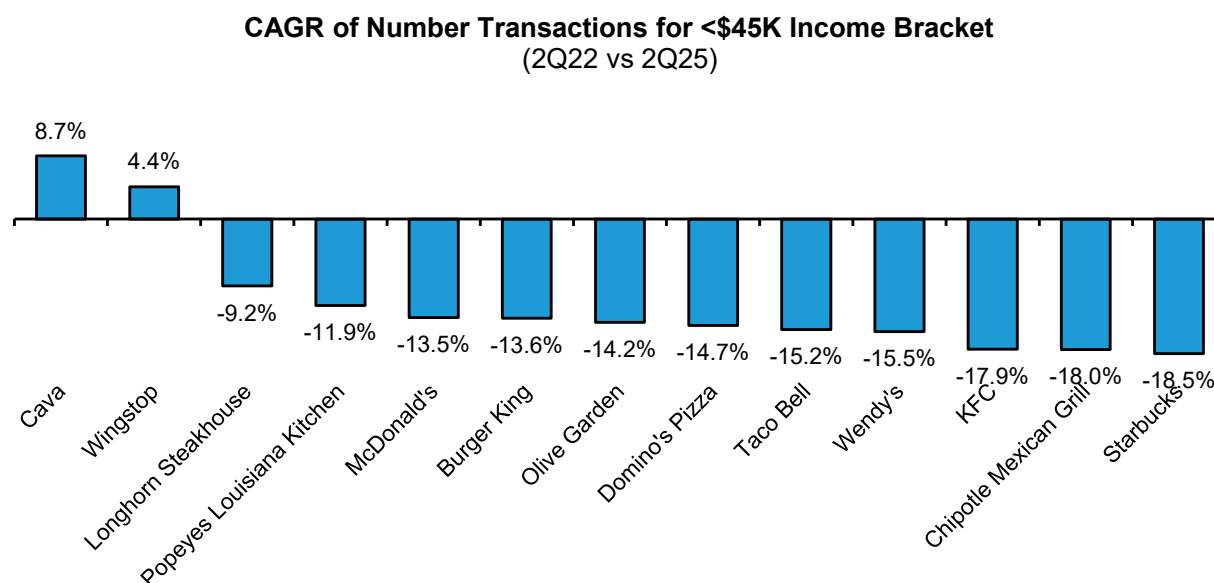
Source: Carbon Arc, Bernstein analysis

EXHIBIT 21: Low-income household exposure declined across every brand between 2Q22 and 2Q25, with QSR concepts still carrying the highest exposure but seeing material compression



Source: Carbon Arc, Bernstein analysis

EXHIBIT 22: Only Cava and Wingstop grew transactions from 2Q22 to 2Q25, every other brand in coverage saw negative visit CAGRs



Source: Carbon Arc, Bernstein analysis

WHAT CAN RESTAURANTS DO IN A K-SHAPED ECONOMY

For affluent-skewed brands:

- **Hold entry price points:** We think brands should keep core products flat while selectively adding high-end SKUs (e.g. steak, salmon, premium beverages) to give >\$100k users room to trade up.
 - Cava held its core items flat (e.g. chicken, falafel, roasted vegetables) while adding grilled steak in 2024 and salmon in April 2026. CFO Tricia Tolivar described this internally as a barbell: protect the accessible entry price, add high-end proteins to expand the ceiling.
- **Avoid discounting the core:** The danger with broad discounting is that it trains high-income loyalists to wait for deals and weakens the premium behind the brand's image, potentially leading to margin erosion.
 - When Brian Niccol took over Starbucks in late 2024, one of his first moves was to walk back the prior team's discounting push. We think that was the right call. Heavy promotions had trained Starbucks' most valuable customers (who are largely \$100k+ earners, per the data) to wait for deals rather than pay full price. The result was margin erosion with no durable traffic recovery. Niccol reoriented around the "Back to Starbucks" platform with cleaner menus, faster service, and premium seasonal beverages. We believe that is the right template for any brand with higher affluent user exposure as the \$100k+ cohort is not coming to these restaurants because they're cheap.
- **Invest in loyalty and throughput:** We believe personalized rewards and kitchen/tech upgrades could reduce friction for digital and catering orders, which skew toward higher-income, time-constrained users.
 - Chipotle relaunched its rewards program in April 2026 as "Rewards on Repeat," adding monthly free food drops, personalized challenges, and extended point expiration windows. The 2025 predecessor, "Summer of Extras," drove 6.4 million activations and over \$12 million in incremental sales. Loyalty sign-ups grew 14% year-over-year in Q2 2025. We expect this to keep compounding: loyalty members generate meaningfully higher repeat visit frequency than non-members (see our deep-dive [here](#) on loyalty programs).
 - Simultaneously, Chipotle is deploying new kitchen equipment across roughly 2,000 locations in 2026 — grills, fryers, high-capacity rice cookers — specifically to support throughput for catering and family digital orders.

For value/QSR brands:

- **Be disciplined with price:** We think companies that are more disciplined with pricing in this macro environment are more likely to retain customers.
 - Bear in mind that the credit card data is understating the cohorts of low-income consumer who pay with cash — the cohort that is already under wage pressure, energy cost pressure, and in many cases post-SNAP-cliff stress. Given the already elevated QSR price points, broad price increases risk accelerating trade-out to grocery. We think clear and consistent bundles (e.g., Taco Bell's Luxe Value Menu) could anchor a compelling entry price while preserving margin on add-ons and premium LTOs.
- **Run a two-lane menu.** Similar to the barbell strategy above of holding entry price points without discounting the core, we think QSRs should maintain a protected low-price value lane for highly elastic visits and a separate premium lane for less-elastic, higher-income users (specialty sandwiches, collaborations, larger bundles).
- **Target offers by behavior.** We think investments should be made in the direction of using app and kiosk data (frequency, daypart, basket, channel) as a live proxy for price sensitivity. Deploy deeper discounts and bundles to high-frequency, low-check users; reserve convenience and premium upsells for low-frequency, higher-check users. This aligns promo spend with elasticity and avoids training the whole base to wait for deals.
- KFC is deploying self-ordering kiosks and AI-powered mobile recommendations across its global system, with personalized meal suggestions based on order history. We think this is the right direction because app transaction histories are a proxy for income sensitivity: order frequency, daypart, basket composition, and channel preference all correlate with how elastic a customer is to price.

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